

The Worldwide Income Tax Trap

What the 183-Day Rule Actually Means for Your Money

Most people who build a life around remote work arrive, sooner or later, at a belief that feels self-evidently true: if you never stay anywhere long enough to become a resident, nobody can tax you. This guide walks through why that's usually wrong, how Colombia's 183-day test actually works, and what to do once real money is on the table.

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General information only, not legal, tax, or financial advice. See the closing note.

SECTION 01

The Trap Nobody Warns You About

Most people who build a life around remote work arrive, sooner or later, at a belief that feels self-evidently true: if you never stay anywhere long enough to become a resident, nobody can tax you. It sounds airtight. It is also, in most real cases, wrong, and it tends to stay comfortably wrong right up until real money or a real audit is on the table.

Here is the version of the world that tax systems actually run on. Most countries, Canada, most of Europe, and Colombia among them, tax their residents on worldwide income: every dollar you earn, wherever it was earned, is fair game once you are a tax resident there. A smaller group of countries, Panama chief among them in this part of the world, tax only income sourced inside their own borders. That distinction, worldwide taxation against territorial taxation, is the single most load-bearing fact in this whole guide, and almost nobody explains it clearly before someone actually needs to know it.

The perpetual-traveler idea, moving often enough and staying nowhere long enough to trigger residency anywhere, sounds like a clean way to opt out of both systems at once. In practice it rarely holds up. Most home countries do not let go as easily as people assume, and "nowhere long enough" requires genuinely disciplined tracking, which almost nobody does as carefully as they believe, especially in a country they have grown to love and keep finding reasons to extend the trip in.

SECTION 02

How Colombia's 183-Day Test Actually Works

Colombia's rule is precise, and unlike a calendar-year test it does not reset neatly on January 1st: spend 183 days or more inside Colombia within any rolling 365-day window, counting both your arrival and departure days, and you become a Colombian tax resident. It makes no difference whether those days were one long stretch or a dozen separate trips, and it makes no difference what visa you happen to be on. Cross the line and Colombia can tax your entire worldwide income for that tax year. If the 365-day window straddles two calendar years, residency is assigned starting in the second year, a detail that regularly catches people who did the math against a calendar year instead of a rolling one.

The trap is not Colombia's tax law. The trap is discovering, eighteen months in, that you crossed 183 days without noticing, because "a few weeks here, a month there, back for the holidays" adds up faster than anyone expects.

There is no tax treaty between Colombia and the United States, which matters more than it sounds like it should. For American nomads, that means no treaty mechanism smoothing over double taxation the way one exists between Colombia and Spain, Chile, Canada, or the United Kingdom. Add in the fact that the United States taxes its own citizens on worldwide income no matter where they live, a rule almost no other country follows, and an American who becomes a Colombian tax resident can end up owing tax twice on the same income, with foreign tax credits and careful filing as the only real defense, not a treaty.

None of this makes Colombia a place to avoid. Plenty of nomads structure their time deliberately, spending four or five months at a stretch and then leaving before the count becomes a problem, which is a perfectly legitimate approach as long as someone is genuinely counting the days rather than guessing at them.

SECTION 03

Where Do-It-Yourself Research Quietly Fails

This is exactly the moment do-it-yourself research quietly fails you. A confident Reddit thread telling you nomad income is untouchable was very likely written by someone who has not yet been audited. A quick AI answer will hand you the shape of the rule but not the local filing mechanics, the income thresholds that trigger a filing obligation even when no tax is owed, or what a foreign-asset disclosure actually requires once you cross it.

"I will just not tell anyone" is not a strategy either. It is a bet that Colombia's immigration stamps, your own bank's reporting, and your home country's information-sharing agreements will never line up against you, and that bet gets worse every year those systems get better connected. None of these sources have actually looked at your specific day count, your specific income, and your specific family situation and told you what applies to your case.

Exiting a home country's tax residency formally, rather than just moving and hoping, is the other half of this picture that people underestimate. Every home country has its own multi-factor test: the UK looks at day-counts, family ties, work ties, and accommodation; Australia layers a domicile test over a 183-day rule with administrative practice that has tightened markedly since 2018; Canada weighs residential ties like home ownership, family location, and economic interests. A clean exit from one country is not automatically a clean exit from another, and generic offshore advice typically gets one element right and several others wrong. The goal is to never end up tax-resident nowhere for a stretch, since that ambiguity is usually resolved by whichever country decides to claim you.

SECTION 04

Getting This Looked At Properly

Interested in speaking with a professional who can guide you on this?

Click below to speak with Catalina, tell her you'd like to speak with someone about your tax residency and exit planning.

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Mike Chartrand

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